

**BEFORE THE
FEDERAL MARITIME COMMISSION**

LOGFRET, INC.,

Complainant,

v.

Docket No. 18-10

KIRSHA, B.V.,
Leendert Johannes BERGWERFF a/k/a Hans BERGWERFF,
LINDA SIEVAL,

Respondents.

RESPONDENTS' SUPPLEMENT TO PETITION FOR ATTORNEY'S FEES

Respondents Kirsha B.V., Hans Bergwerff, and Linda Sieval, (collectively, "Respondents"), pursuant to the Chief Administrative Law Judge's October 28, 2019, Order issued in the captioned docket, hereby submit this supplement to their petition for an award of attorney's fees.

I. Eligibility and Entitlement to Attorney Fees Under Revised Commission Rules and Relevant Cases

The Federal Maritime Commission ("FMC") revised its Rules of Practice and Procedure regarding Petitions for Attorney Fees in FMC Docket No. 15-06. The revised rule requires filers to, *inter alia*, (i) explain why attorney fees should be awarded in the proceeding, (ii) specify the numbers claimed by each person representing the prevailing party at each identifiable stage of the proceeding, and (iii) to provide supporting evidence of the reasonableness of the hours claimed and the customary rates charged by attorneys and associated legal representatives in the community where the person practices.

Applied to this proceeding, item (iii) was discussed in Attachment A to Respondents' Petition for Attorney Fees, *Declaration of Attorney Henry P. Gonzalez*.

Additionally, the rates for Respondents' counsel fall within or below the Updated Laffey Matrix. Item (ii) is discussed below in Section II. As to Item (i), respondents indicated in their Petition for Attorney Fees that fees should be awarded in the proceeding because they prevailed in the complaint proceeding in the captioned docket and are thus eligible for attorney fees pursuant to Section 11 of the Shipping Act.¹ Respondents hereby provide additional explanation why attorney fees should be awarded in this proceeding.

In *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*,² the FMC granted in part petitions for attorney fees based on facts that are similar to those in this proceeding. Specifically, in *Edaf* the FMC found that respondents were eligible for attorney fees because they were the prevailing parties. Additionally, the FMC found that Respondents were entitled to attorney fees because such an award was consistent with the purposes of the Shipping Act and **in light of Edaf's conduct in the proceeding**.

Here, just like in *Edaf*, Respondents are eligible for an award of attorney fees because they were the prevailing parties.³ Respondents were the prevailing parties because the presiding administrative law judge dismissed all of the Complainant's claims on the merits **with prejudice** and discontinued the proceeding.⁴ As a result, there was a

¹ *LOGFRET, INC. v. KIRSHA, B.V.*, Petition for Attorney Fees, FMC Docket No. 18-10 (filed Oct. 23, 2019). Refer to 46 C.F.R. § 502.254, revised by *Organization and Functions, Rules of Practice and Procedure, Attorney Fees*, FMC Docket No. 15-06 (Served Feb. 23, 2016).

² *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Order Granting Petition for Attorney Fees, FMC Docket No. 14-04 (Served Sept. 14, 2016) ("Edaf").

³ *Id.* at p. 8, quoting 81 Fed. Reg. at 10,512.

⁴ In this regard, the instant proceeding is distinguishable from *Baltic Auto Shipping, Inc. v. Michael Hitrinov*, wherein the FMC ALJ dismissed the claim on statute-of-limitations grounds and did not rule on the actual merits. *Baltic Auto Shipping, Inc. v. Michael Hitrinov*, Order Denying Petition for Attorney Fees at p. 18, FMC Docket No. 14-16 (Served Oct. 25, 2017).

“material alteration of the legal relationship of the parties” and success on the merits for Respondents.⁵

Here, just like in *Edaf*, Respondents are entitled to an award of attorney fees. Such an award is consistent with the purposes of the Shipping Act and FMC application of U.S. Supreme Court. Specifically, Complainant submitted a frivolous complaint and amendment with respect to violations of the Shipping Act, which was motivated by an improper internal corporate dispute outside of the FMC’s jurisdiction, and exhibited “objective unreasonableness (both in the factual and in the legal components of the case)[.]”⁶ Further, Complainant egregiously failed to substantiate the legal and factual components of its case both in its initial complaint and in its amended complaint.

In the initial Complaint, Complainant blatantly failed to allege preconditions of the statutory requirements of 46 U.S.C. § 41103(a), a *sine qua non* for pleading subject violations – *i.e.*, that Respondents, acting as common carriers, marine terminal operators, and/or ocean freight forwarders, breached subject statute. In fact, as stated in the initial pleadings, the two natural persons named as Respondents were managers and employees of Logfret, B.V. (an affiliate of Complainant) during the pertinent period. With respect to the corporate Respondent, while Kirsha B.V. is connected with Logfret B.V. in a landlord function as noted in the proceeding, the initial Complaint does not plead that it acted as a common carrier, ocean freight forwarder, or marine terminal operator during the period in question.

⁵ *Id.*; *LOGFRET, INC. v. KIRSHA, B.V.*, Initial Decision Granting Motion to Dismiss, FMC Docket No. 18-10 (served Sept. 17, 2019).

⁶ *Id.* at p. 9, citing *Fogerty v. Fantasy, Inc.*, 510 U.S. 517, 534 n. 19 (1994). Unlike *Baltic Auto Shipping, Inc. v. Michael Hitrinov*, Complainant did not provide sufficient evidentiary support for its arguments and slavishly adhered to an erroneous view of the law void of a plausible interpretation. *Baltic Auto Shipping, Inc. v. Michael Hitrinov*, Order Denying Petition for Attorney Fees at p. 18, FMC Docket No. 14-16 (Served Oct. 25, 2017).

In response to Respondents' Memorandum in support of its Motion to Dismiss, the Administrative Law Judge allowed an opportunity for Complainant to amend its Complaint. The Amended Complaint made bare bones formulaic averments, without including any plausible factual support, that respondents were "common carriers" as defined at 46 U.S.C. § 40101.

From the perspective of Respondents defending against Complainant's amended averments, Complainant egregiously and disingenuously made arguments in their Opposition to Respondents Motion to Dismiss that deviated again from their Amended Complaint by posing a different fact scenario than what it had pled in the Amended Complaint.

Complainant, this third time around in its Opposition averred that Kirsha B.V., Mr. Bergwerff, and Ms. Sieval were acting as "other persons" in conjunction with Delmar International (N.Y.) Inc. ("Delmar USA"), a common carrier licensed by the Federal Maritime Commission ("FMC"), a non-party to this proceeding. Complainants inexplicably inconsistent with their Amended Complaint concluded that Respondents were within the provisions of 46 U.S.C. § 41103(a) as "other persons", language contained in that regulatory provision, but which, as noted by the ALJ, a concept which has repeatedly been held invalid by the Commission. Complainant also claimed in its Opposition memorandum that Kirsha B.V. would, in any case, be subject to the Act in that it "acted" or "held out" as a common carrier. However, Complainant, while alleging in the Amended Complaint that the two natural person respondents were acting as or holding out as *de facto* common carriers, in the Opposition document Complainant also conceded that, unlike Kirsah B.V., Mr. Bergwerff and Ms. Sieval, Complainants "are not

common carriers.” Nonetheless, Complainant concluded that individual respondents Hans Bergwerff and Linda Sieval, were still subject to 46 U.S.C. § 41103(a) in that they acted in conjunction with Delmar USA as “other persons.” The bizarre inconsistencies between the arguments made in Complainant’s Opposition and what was in their Amended Complaint clearly added vexatious, expensive, and unfair tasks to Respondents in defending against the Amended Complaint.

Further, Complaint did not provide a thorough legal discussion and it did not specify the way it would be harmed or prejudiced by Respondents’ alleged acts.⁷ Just as in *Edaf*, here, Complainant “forced multiple Respondents to expend significant resources of both time and money in their defense[.]”⁸ with two of the respondents being individuals who also experienced significant personal and emotional tax during the pendency of the proceeding. Additionally, just as in *Edaf*, Complainant “failed to terminate the claim when it could have limited the expense of the Respondents” and had “ample opportunity to withdraw its claim.”⁹ As to this latter point, the FMC characterized failure to terminate or withdraw as “perhaps most egregious[.]” Complainant had ample opportunity and reason to attempt to terminate or withdraw its Complaint after receiving Respondents’ Motion to Dismiss and its supporting memorandum, but, it chose to continue the harassing lawsuit at the Commission. As

⁷ In this regard, the instant proceeding is distinguishable from *Baltic Auto Shipping, Inc. v. Michael Hitrinov*, wherein the FMC found that Complainant vigorously litigated its claims. *Baltic Auto Shipping, Inc. v. Michael Hitrinov*, Order Denying Petition for Attorney Fees at p. 18, FMC Docket No. 14-16 (Served Oct. 25, 2017).

⁸ *Id.* at p. 9.

⁹ *Id.* at pp. 9-10, citing *Martin v. Hadix*, 527 U.S. 343, 360-361 (1999) (rejecting “the assumption that the attorney’s initial decision to file a case on behalf of a client is an irrevocable one.”). Here, Complainant is a highly sophisticated company that could have directed its outside counsel to terminate the proceeding. The Complaint was filed on November 14, 2018 and was not resolved until nearly a year later on September 17, 2019, giving Complainant’s in-house and outside counsel plenty of time to make a sober evaluation as to the veracity of the allegations and withdraw the complaint.

noted in the record and cited by the ALJ, there were other non-Shipping Act proceedings in the Netherlands among these parties, and we suggest that Complainant's interest in the FMC proceeding had more to do with impacting the proceedings in the Netherlands than an interest in addressing damages related to violations of the Shipping Act. In short, the Respondents' and the Commission's resources were misused for other purposes than those dealing with the Shipping Act.

An award of attorney fees in this proceeding would further the purposes of the Shipping Act because it would dissuade would-be complainants from filing meritless claims or failing to prosecute their claims. This is particularly salient when such claims involve internal corporate disputes or other non-jurisdictional disputes properly addressed before other juridical bodies.¹⁰

II. Additional Information

The October 28 Order ordered Respondents to supplement their Petition for Attorney Fees by indicating the number of years out of law school for all attorneys, number of years of experience for any paralegals or professionals who worked on the proceeding, and whether the fees charged for anyone changed over the course of the proceeding. Attachment B identifies all of the professionals that worked for Respondents on the captioned matter. The following identifies the requested information:

- Carlos Rodriguez: Mr. Rodriguez has been out of law school for forty-four years. As stated in the Petition for Attorney Fees, Mr. Rodriguez is a partner who specializes in matters before the Federal Maritime Commission. He has forty

¹⁰ Refer to *LOGFRET, INC. v. KIRSHA, B.V.*, Motion to Dismiss Complaint for Lack of Personal and Subject-Matter Jurisdiction at pp. 1-2, FMC Docket No. 18-10 (filed Jan. 9, 2019) ("Complainant has sought to misrepresent internal management/employment disputes between Complainant and Respondents as violations of U.S. federal shipping laws." and "Clearly, good cause exists to grant this Motion to Dismiss . . . lest the Commission becomes the repository for resolution of endless global internal corporate disputes having nothing to do with the Shipping Act.").

three years of experience in matters before the FMC. Mr. Rodriguez's fees did not change over the course of the proceeding. Mr. Rodriguez claims 63.1 hours for representation during the initial stage of the proceeding at \$515 per hour, minus a \$1,500 reduction in fees provided as a courtesy to Respondents.

- Eddie Edwards : Mr. Edwards has been out of school for 14 years. As stated in the Petition for Attorney Fees, Mr. Edwards is a transportation analyst who specializes in matters before the Federal Maritime Commission. He has 20 years of experience in matters before the FMC. Mr. Edwards's fees did not change over the course of the proceeding. Mr. Edwards claims 13.9 hours for representation during the initial stage of the proceeding at \$245 per hour.
- Daniel Jaffe: Mr. Jaffe has been out of law school for forty-seven years. As stated in the Petition for Attorney Fees, Mr. Jaffe is Of Counsel who specializes in transportation litigation matters, among others in the Southern District of New York, and other jurisdictions. Mr. Jaffe's fees did not change over the course of the proceeding. Mr. Jaffe claims 2.8 hours for representation during the initial stage of the proceeding at \$430 per hour.
- Sylvia Bartell: Ms. Bartell has been out of law school for four and a half years. As stated in the Petition for Attorney Fees, Ms. Bartell is a regulatory associate in Washington D.C. who specializes in federal regulatory litigation, with experience before the FMC and Federal Energy Regulatory Commission. Ms. Bartell's fees did not change over the course of the proceeding. Ms. Bartell claims 27.2 hours for representation during the initial stage of the proceeding at \$335 per hour.
- Tierra Jones: Ms. Jones has been out of law school for two and a half years. As stated in the Petition for Attorney Fees, Ms. Jones is a litigation associate in Washington D.C. with experience in all stages of litigation, including fact investigations, initial pleadings, discovery, and trial strategy. Ms. Jones fees did not change over the course of the proceeding. Ms. Jones claims 11.2 hours for representation during the initial stage of the proceeding at \$250 per hour.

Conclusion

WHEREFORE, Complainant respectfully requests that legal fees in the amount of \$47,518.00 be awarded pursuant to Section 11 of the Shipping Act, 46 U.S.C. 41305, and 46 C.F.R. § 502.254.

Respectfully submitted,

By: _____

Dated: November 7, 2019

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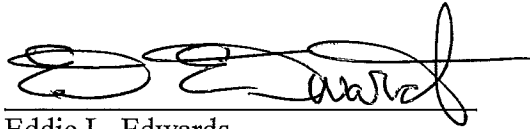
Kirsha, B.V.
Hans Bergwerff
Linda Sieval

CERTIFICATE OF SERVICE

I hereby certify that on this 7th day of November 2019, a true and complete copy of the foregoing *Supplement to Petition for Attorney's Fees* was served on the following by electronic mail and first class mail, postage pre-paid:

Ashley W. Craig
Venable LLP
600 Massachusetts Avenue, N.W.
Washington, D.C. 20001

Counsel for Complainant

A handwritten signature in black ink, appearing to read 'Eddie L. Edwards', written over a horizontal line.

Eddie L. Edwards
For Respondents

Kirsha, B.V.
Hans Bergwerff
Linda Sieval